

Mark Scheme

Q1.

Question Number	Answer	Mark
(a)	Application 1 The only correct answer is C <i>A is not correct because they may multiplied 8.75 by -0.1</i> <i>B is not correct because they have mistakenly taken 2017 as the original year in the percentage change calculation</i> <i>D is not correct because the percentage change in quantity demanded has not been multiplied by -0.1.</i>	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 1, Analysis 1 Knowledge/Understanding 1 mark for recognition of the effect of a change in income on the demand Application 1 mark for application to Freddo, e.g. • YED is negative (1) • Freddos is an inferior good (1) • YED is inelastic Analysis 1 mark for linked development, e.g. • Sales revenues fall as incomes rise or • Sales revenue rise when incomes fall • Company should plan to produce less when the economy does well or • Company should plan to produce more when economy/incomes are not growing	(3)

Q2.

Question Number	Answer	Mark
(a)	Application 1 The only correct answer is D <i>A is not correct because a negative figure would indicate they are complements</i> <i>B is not correct because a figure less than one indicates a distant relationship</i> <i>C is not correct because whilst positive is a substitute a figure less than one does not indicate a close relationship.</i>	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 2 Knowledge/Understanding 1 mark for identifying revenue as price x quantity (this understanding may be implicit) Application 1 mark for calculating percentage change in quantity (-)1.5% or actual change 18.8135 million tickets (allow 18.8 million) 1 mark for correct answer £143.547 million (allow 143.5 to 143.6) NB Award 3 marks for correct answer £143.547 million (allow 143.5 to 143.6) NB Maximum of 2 marks if correct answer is not given	(3)

Q3.

Question Number	Answer	Mark
(a)	The only correct answer is B <i>A is not correct because as a quantitative skill this describes the range rather than median so acts as a distractor</i> <i>C is not correct because as a quantitative skill this describes the mode rather than median so acts as a distractor</i> <i>D is not correct because as a quantitative skill this describes the mean rather than median so acts as a distractor</i>	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 1, Analysis 1 Knowledge/understanding 1 mark for correct definition of inferior good e.g. as incomes rise demand falls or YED formula = $\% \Delta Q_d / \% \Delta Y$ Or as incomes falls more demand for inferior goods Application 1 mark for, e.g. 1 mark for calculating percentage change in income $= 1.5 / 24.2 = +6.2\%$ 1 mark for calculating YED = $-3\% / +6.2\% = -0.48$ (accept range -0.48 to -0.5) Analysis 1 mark for linked development e.g. bus travel is an inferior good as YED is negative (1). Or explanation of the inverse relationship (1).	(3)

Q4.

Question Number	Indicative content	Mark
	Knowledge 4, Application 4, Analysis 8, Evaluation 9 • Definition of microeconomic consequences • Identification of positive XED Positive consequences • Consequences for microeconomic agents of increased demand for electricity – consumers, electric vehicle manufacturers, electric vehicle dealers, battery manufacturers, freight companies, retailers, government, employees. • Use of cost and revenue diagram for to show the effect on profit of falling cost of electric powered vehicles/rising revenue. • Welfare effects on consumer and producer surplus of consumers switching to electric powered vehicles. • Efficiency – allocative, productive, dynamic • Positive external benefits • Reduced negative external costs ($MSC > MPC$) closer to social optimum Negative consequences • Use of cost and revenue diagram to show the effect on profit of rising cost of petrol or diesel/declining revenue ($D = AR$). • Welfare effects on consumer and producer surplus of consumers switching away from diesel or petrol. • Efficiency – x-inefficiency • Loss of government revenue as a large proportion of petrol or diesel price is tax • Negative external costs associated with e car manufacturing NB: Negative consequences can be seen as KAA and positive consequences against as evaluation or vice versa.	

	Evaluation • Predictions may be wrong – dynamic market forces between substitutes may result in cheaper sources of oil, electric power becoming more expensive. Lack of electric infrastructure. Distant substitutes, XED<+1. • Counterarguments made to the point raised e.g. Supernormal profits made may raise barriers to entry, firms may pursue sales maximisation rather than profit maximisation, congestion. • Information gaps • Different geographic markets – regulations and taxes on oil powered vehicles • Impact on the oil market will depend on how electricity is generated • Negative external costs partly offset by increased demand for electricity NB: Negative consequences can be seen as KAA and positive consequences against as evaluation or vice versa.	(25)
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	5–8	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	9–12	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	13–16	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-3	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	4-6	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.
Level 3	7-9	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q5.

Question Number	Answer	Mark
	D	(1)

Question Number	Answer	Mark
	Knowledge 1, Application 2 Knowledge 1 mark for identifying that a price fall would result in a fall in total revenue OR definition of total revenue. Application 2 marks for linked application (1+1), e.g. - the percentage rise in quantity demanded is lower than the percentage fall in price (1) as demand is price inelastic OR less than $1/-1(1)$ - diagram showing inelastic demand (1) showing increased revenue is less than lost revenue (1) or numerical example of revenue changes (1+1).	(3)

Q6.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for understanding/formula of price elasticity of demand i.e. the responsiveness of quantity demanded to a change in price Application 2 marks for using data e.g. • reference to fees e.g. £9 250 (1) or PED e.g. -0.5 (1) • 825% increase in fees (2) Analysis PED is inelastic (1) so government and universities know that students are prepared to accept higher fees (1) Students are not price sensitive (1) so the level of fees is perhaps less important than other issues e.g. fairness of fees for different courses (1)	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2 • The statement is concerning because people from poorer backgrounds are less likely to apply to university in the first place (Extract A, Figure 3), so when they do go and drop out we are failing to maximise the use of scarce resources • Universities are trying to increase accessibility but failing to keep poorer students. This means that graduates are increasingly likely to be from wealthier families and poorer student are leaving because of concern over high levels of debt • Would this happen if England had low or no tuition fees like Germany? • Candidates may draw a PPF showing the country operating within the frontier because as a nation we are not making the most of our labour force • Opportunity cost. Government and universities spending money/resources that could have been spent elsewhere	(6)

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	0	A completely inaccurate response.
Level 1	1-2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3-4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5-6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Answer	Mark
(b) continued	Evaluation 4 • Extract A refers to the fact that 'Students from all backgrounds are more likely to go to university than ever before' • Poorer students are continuing to attend university and various schemes exist to support them • Questioning the extent of the effect over time. How significant is this? Are tuition fees a significant contributor to drop-out rates? • Judgement should focus on how important this effect is NB KAA can be treated as Evaluation and vice versa	(4)

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	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Knowledge/understanding • Identification of one external and one private benefit: tax revenue (external); higher earnings (private) (1+1) Application 2 marks for, e.g. • 'the government will benefit greatly from additional tax revenues' (1) • 'the rest will be in the form of their extra spending power' (1) Analysis Linked development of why the education specifically benefits producers e.g. higher productivity enable firms to achieve lower costs and, therefore, lower prices (1+1) Award up to 3 marks for each benefit	(6)

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 Formula for percentage calculation (new-old)/old x 100. (1) $(102357 - 45418)/45418 \times 100$ (1+1) = Accept any figure between 125 and 126 NB Award 4 marks for a correct answer of 125%. Award up to 3 marks for correct working.	(4)

Question Number	Answer	Mark
(e)	Knowledge 3, Application 3, Analysis 3 • The top five subjects generate earnings significantly above the average when compared to non-graduates whereas the bottom five reduce earning potential. Charging different fees would allow universities to maximise their own earning potential • Students would pay because they can clearly see that the benefits outweigh the costs • Some subjects cost more to staff, so they should cost more, allowing less expensive degrees to be reduced in price • Provide improved courses / give students better educational experience/attract more domestic students • Provide more funds to look after disadvantaged students • Improved courses will attract overseas students • Allow universities to cover the true cost of some courses. Examine variable fees in terms of allocation of resources • Discuss the consumer pays principle. Consumers i.e. students who benefit from university education (premium of £10 000) should pay/contribute to the cost? • Discuss the government / taxpayer role in financing higher education • Long term supply side benefits e.g. more skilled work force	(9)

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Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7-9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Answer	Mark
(e) continued	Evaluation 6 • Difficult to quantify exactly what should be charged for what subjects – figures can change over time • May be problematic for those from poorer families, who may see the higher cost of certain degrees as prohibitively expensive • Discussion of the concept of a 'broader education' – are degree choices simply about money. A creative arts subject may reduce earning potential when compared to the average but such subjects are essential for any liberal education	(6)

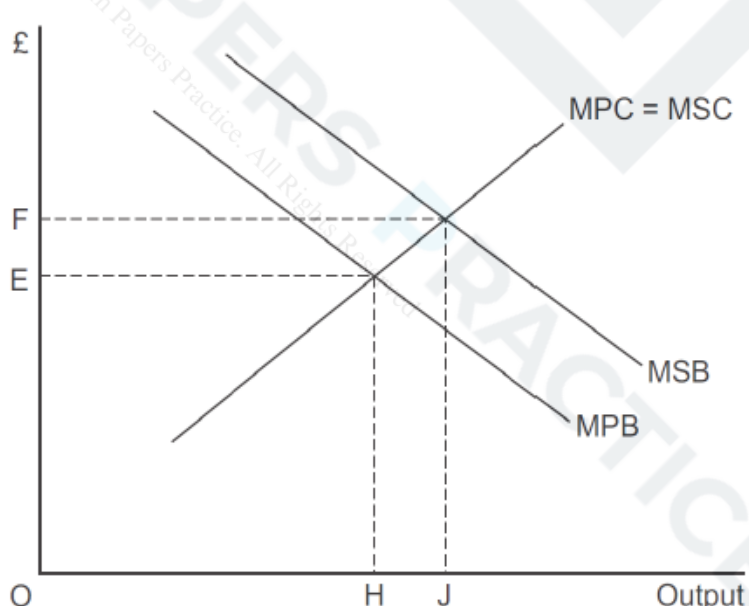
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5-6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(f)	Knowledge 4, Application 4, Analysis 6 The extracts contain plenty of examples from an international context. • Re-designing the structure of fees in England according to the 'value of the degree' • This could be done by subject, institution etc. • Cutting fees for poorer groups and introducing maintenance grants • The US model where top institutions charge high fees and state universities much lower ones • The European model of lower fees • A graduate tax as in Germany • Discussion of efficient/inefficient allocation of resources • Education as a merit good • External benefits application (with appropriate diagram) • Impact on income inequality/fairness/impact on poorer communities • Free market system will discourage 'fringe degrees' and focus on degrees that offer more vocational benefits that pay higher salaries (Good or bad?) Candidates may use supply and demand analysis to develop the idea of different subjects charging different fees.	(14)

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Level 2	4-6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7-10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11-14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Answer	Mark
(f) continued	Evaluation 6 England is similar to the U.S. and quite different from Europe • Good evaluation will consider the strengths and weaknesses of each method • European approaches recognise the increase in graduate earning potential and the much higher taxes that graduates will pay in the future. They are much cheaper at the point of use and encourage applicants from poorer families. The taxpayer pays the majority of the cost at the point of use • U.S. and English approaches recognise that the consumer of education must pay at the point of use and be prepared to make a personal investment in future earning power. Students are encouraged to consider whether their degree is worth the cost. If creative arts confer no benefits, then why study them?	(6)

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Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5-6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Answer	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Education creates positive externalities in consumption. Left to the market alone there will be under-consumption of education. This can be illustrated through an externalities diagram: 	

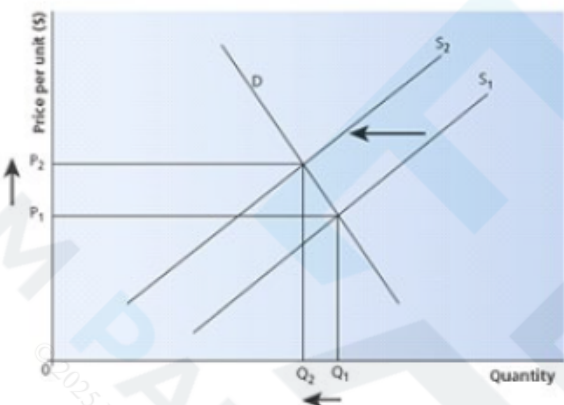
	- The diagram below shows the marginal private benefit (MPB) and marginal social benefit (MSB) curves and the marginal private cost (MPC) and marginal social cost (MSC) curves for higher education - The external benefits of education are social benefits that spillover to benefit others in the society and future generations. These include lower government health, welfare, and prison costs; strengthened democracy, human rights, political stability, and social capital; less crime and poverty; environmental benefits; better international competitiveness; new ideas and diffusion of technology - Government intervention can be used to ensure that the optimum quantity of education, J, is consumed rather than the free market outcome at H	(14)
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Level 4	11-14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Answer	Mark
(g) continued	Evaluation 6 • There is a significant issue of measurement where externalities are concerned • Many of the social benefits identified above are 'vague' and ambiguous • As a result there can be considerable 'government failure' in education • Understanding of government failure as intervention that results in a net welfare loss; how is government supposed to know which degree level subjects are in demand in the future? • Causes of government failure: ◦ distortion of price signals ◦ unintended consequences ◦ excessive administrative costs ◦ information gaps	(6)

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	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5-6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q7.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2 Knowledge - Supply and demand diagram annotated to show a left shift in the supply curve (2) Application - New equilibrium price (1) - New equilibrium quantity (1)  NB – Award up to 2 diagrammatic application marks for other microeconomic effects based on correct knowledge e.g. – changing Consumer Surplus (1) or Producer Surplus (1) or Revenue (1) or Shortage (1)	(4)
(b)	Analysis 1 The only correct answer is A B is not correct because the potential output is not likely to increase C is not correct because A is more likely than C which illustrates a reallocation of resources towards consumer goods. If anything a reallocation of resources towards more capital goods is more likely D is not correct because this illustrates an increase in actual output which the stem to the question does not provide evidence for	(1)

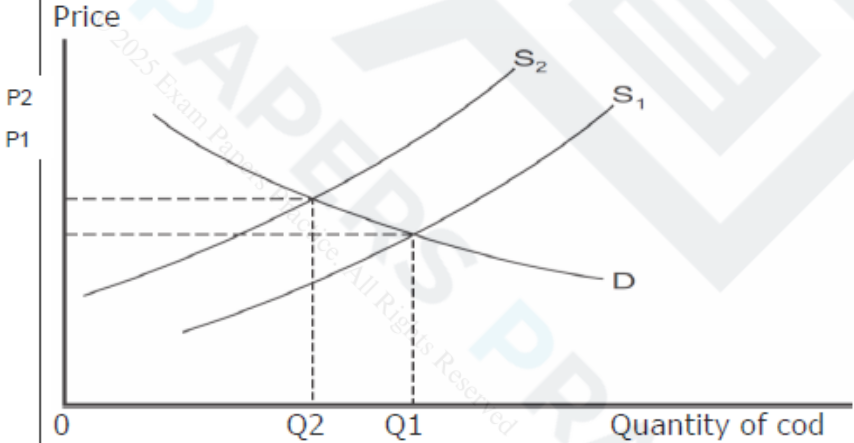
Q8.

Question Number	Answer	Mark
(a)	The only correct answer is A <i>B is not correct because the candidate has divided by the new year rather than the original year</i> <i>C is not correct because the candidate has looked at the difference in quantity sold between 2014 and 2015 rather than answering the question between 2011 and 2015</i> <i>D is not correct because the candidate has looked at the decrease in the quantity of PC's not the percentage decrease</i>	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Analysis 1 Knowledge: 1 mark for likely reason in the decrease in sales of PCs e.g. • Development of substitutes such as Tablets or iPads or iPhones (1) • Fall in global real incomes (1) • Fall in price of substitutes (1) Analysis: 1 mark for linked development e.g. • Tablets are more convenient to carry round (1) • New technology in other personal devices so becoming more powerful in their functions (1) • Fall in global incomes means that consumers are less likely to buy normal goods such as PCs (1)	(2)

Question Number	Answer	Mark
(c)	Application 2 Application 2 1 mark for appropriate calculation /formula e.g. the sum of 5 largest figures = 190 239 (1) $\frac{190\,239 \text{ (million)}}{276\,700 \text{ (million)}} \times 100$ Answer = 68.8% (Accept between 68% and 69%) Award 2 marks for correct answer (68.8)	(2)

Q9.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for original supply and demand diagram with original equilibrium Application 2 marks for using source data explaining change in supply e.g. • Cod catch limits cut (1) by 50% (1) • Reduced limited TACs agreed for Celtic Sea/Irish Sea/west of Scotland (1) • Relevant use of data from Figure 1 (1+1) e.g. Identifying the country that is overfishing (1) Identifying the amount of overfishing (1) Analysis Accurate diagram – showing price rise or candidate states price rise (1) correct shift in supply (1) e.g. 	(5)

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 Reasons why fishing as much as possible is rational • This is completely rational from the perspective of a fishing company, which has revenues clearly linked to size of catch. • Shows an understanding of profit maximising behaviour. 'Private producers will act in their own self-interest and exploit common access resources to maximise profit.' • Figure 1 shows Sweden fishing at an excess of 52.4% in excess of TAC. • Using techniques to increase the size of the catch will help to minimise costs • 'Common access resources provide an opportunity for individuals to create profit, while spreading negative externalities to everyone else.' NB KAA can be treated as Evaluation and vice versa	(6)

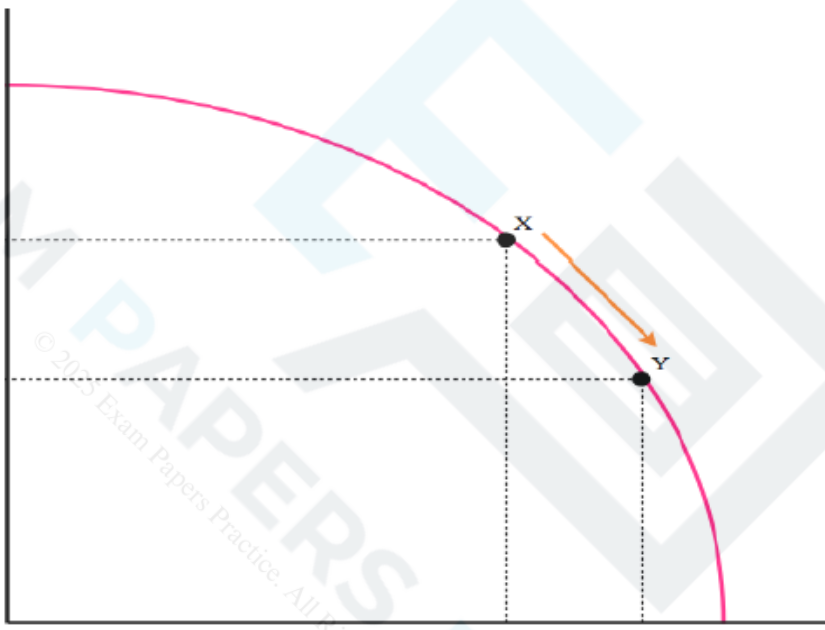
Level	Mark	Descriptor
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Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
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Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 Reasons why fishing as much as possible is irrational: • ‘Exploitation is unsustainable and will lead to the depletion of resources; this is known as the tragedy of the commons.’ • Short run profits means that stocks are rapidly depleted so in the long run there are no resources for them to fish e.g. individual firms find that dwindling fish stocks mean their own revenue base is contracting. ‘90% of fish stocks are depleted.’ • It may be rational for firms to behave this way but also it is harmful to society of which those firms are a part e.g. negative externalities impact society as a whole	(4)

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	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Knowledge 2, Application 2 Analysis 2 Knowledge and Analysis (1+1)x2 • Excludability (1) e.g. private ownership enables individuals to charge for the use of an asset (1) • Private ownership of resources (1) e.g. land, labour, capital and enterprise may be exploited by private individuals or firms (1) • Rivalry (1) e.g. private owners of resources can choose to buy and sell resources in order to generate profit (1) • Private ownership in a free market economy may lead to wage disparities or other inequalities (1+1) Application (1+1) 1 mark for use of Extract B e.g. ‘private producers will act in their own self-interest’ individuals ‘maximise profit’ 1 mark for use of own knowledge e.g. private ownership of a resource means someone is accountable for it (1) If someone owns something then they legally stop other people from using it (1)	(6)

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 1 mark for e.g. Identifies the correct formula (1) e.g. the formula for XED is $\% \Delta QD \text{ Good A} / \% \Delta P \text{ Good B}$ $-8 = x/2\%$ (1) $-8 \times 2\% = -16\%$ (1) (decrease in quantity demanded of bags of chips) $950\,000 \times 16\% = 152\,000$ (1) $950\,000 - 152\,000 = \mathbf{798\,000}$ If correct answer is given award all 4 marks. Award up to 3 marks for correct working but overall correct answer missing.	(4)

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Impacts can be positive or negative. Understanding of specialisation. The number of workers in the fishing industry relative to other workers will be more in Scotland relative to the rest of the UK: People working in non-fishing related industries  People working in fishing related industries NB If there is no valid diagram - maximum level 2 KAA	

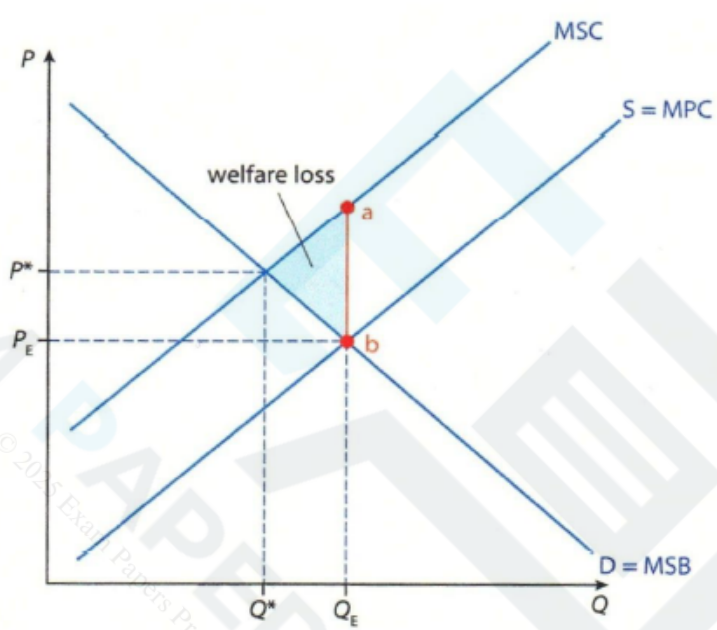
	Advantages might include: - Fishing fleets develop expertise based on years of experience - This will be the case for both labour and capital - Fishing ports have the infrastructure to process the catch and to distribute it to markets in the UK and overseas - Employment opportunities will be available and will grow as the industry develops - Specialisation enables training providers to specialise in developing skills for workers in the region - more resources can go in to	(9)
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	preparing for fishing industry without having to invest in training in other areas. • Spillover effects - skilled labour more freely available so if a new worker is needed they can benefit from training with a different company • Efficient use of resources – a region that specialises in fishing due to availability of resources e.g. good fishing grounds. • Creates jobs – people of Scotland will be able to find employment in the fishing industry • Scotland specialising in the production of fish can catch more and then trade with other countries who specialise in the production of other goods. • By catching more fish the economy can sell these, increasing income in the Scottish economy • By specialising and division of labour increasing output/ reducing costs of production the economy can improve income, living standards. NB KAA can be treated as Evaluation and vice versa	
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Question Number	Indicative content	Mark
(e) continued	Evaluation 6 There are many disadvantages of specialising in the production of goods and services to trade: • Over-exploitation of resources leaves economic agents over-exposed, leading to possible business failures and job losses • The reduction of the cod TAC could lead to major issues for Scottish fishing • External costs related to congestion and pollution • Demand for fish falls with the increased trend towards vegetarianism and veganism, the economy would be at risk • Workers could find it difficult to transfer to other industries if they are over-specialised • Current consumption may be unsustainable leading to reduced incomes for future generations	(6)

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Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 Overfishing is a negative externality in production. Diagram e.g.  NB If there is no appropriate diagram - maximum level 3 KAA	
	Figure 1 shows the scale of the overfishing for different nations, e.g. Sweden's TAC is 52.4% above what the scientists advise. Multiple external costs are referred to in the Extracts. Extract B states that '90% of fish stocks are depleted.' The cod TAC should be reduced in order to reduce the extent of the overfishing. This would reduce the quantity caught from Q_E to Q^*. Possible external costs/third parties that might be affected - Fishing nets can damage wildlife, costing wildlife charities to rescue and rehabilitate animals - Fishing boats spill oil which has a negative impact	(14)

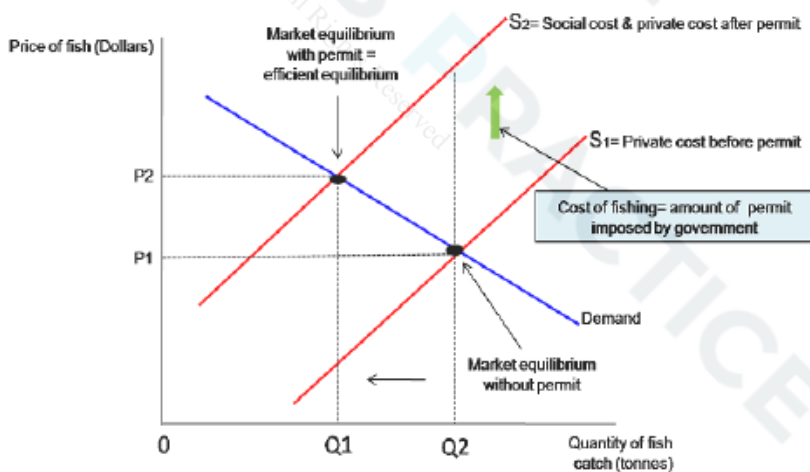
	on those swimming in the sea or wildlife, clear up for Environment Agency etc • Fishing industry throws any over catch back in to the sea, this can pollute the water • Smell from fishing industry can have a negative impact on those that live near the ports • Overfishing increases supply - lowers price and this has negative impact on manufacturers of other food items.	
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 • Hard to put a value on external costs - how do you value harm to wildlife • Some impacts are slow to emerge • External benefits may exist - jobs in fish food processing plants, boat building and net making industries • Technology improves meaning risk of oil spills reduces • Net manufacturers are developing safer nets - fishing industry more aware of the need to dispose of nets appropriately • New method of fishing are reducing the external costs • TACs have helped to reduce the external costs	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Do not award policies involving changes in the total allowable catch (TAC) per country There are a range of policy options available to reduce over-fishing: Ways might include: • Provision of information, so that consumers can be encouraged to consume sustainably • Regulation e.g. designated areas for fishing allowing stocks to recover • Extension of property rights to international waters • Agreements on shares of fish that can be caught • Imposing indirect tax on fish to reduce consumption • Subsidy paid to firms to use safer technology • Minimum price for fish • Government permits awarded to fishing companies may be tradable • The answer may be supported using a relevant diagram e.g.	(14)

	 NB If there is no appropriate diagram - maximum level 3 KAA	
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Evaluation of policies might include; • Unintended consequences, such as illegal fishing • Excessive administrative costs • Information gaps, with consumers unaware of the extent of the damage being caused by over-fishing, not knowing level of tax to implement etc. • UK may increasingly over-fish since leaving the EU • Relative benefits/costs of government intervention versus market-based solutions • Government unaware of the right level of intervention	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q10.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge/understanding 1 mark for infinite wants and finite resources (1) Application 1 mark each for any one of the following for infinite wants: • Consumers of health care have a growing list of medical concerns for essential/non essential treatment/waiting list 4 million (1) • Ageing population (1) • New medical technologies(1) 1 mark each for any one of the following for finite resources: • Number of doctors/nurses (1) • Number of hospital beds available/bed occupancy rates 99% (1) use of Figure 2 e.g. • Waiting time has increased from 5.7% (1) to 10.7% (1) Analysis Up to 2 marks for any one of the following in linked development OR two limited examples of analysis (1+1): • Health resources are scarce (1) so Hospitals have to make choices about who to treat (1) • Decisions need to be made on what, how, why and for whom to treat (1+1) • Opportunity cost of making a medical choice/decision (1) • Government health priorities (1)	(5)

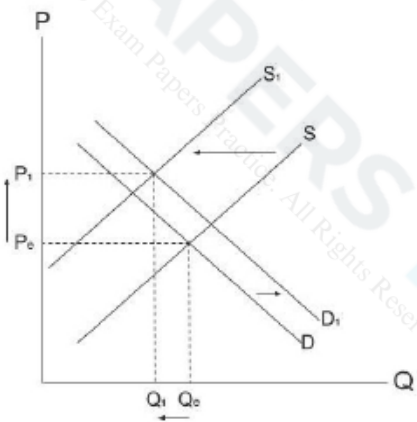
Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2 Knowledge/understanding 2 marks for e.g. • producers know more than consumers (1) or the information is incomplete or imperfect (1) • misallocation of resources (1) Application 1+1 mark for e.g. • risk of requiring health care is an unknown (1) • Doctors know more than patients (1) Analysis Up to 2 marks for any one of the following in linked development to market failure OR two limited examples of analysis (1+1): • Under consumption of healthcare (1) so patients' health conditions deteriorate (1) • Consumers overcharged for health treatment (1) as they are unaware of the true cost of health care (1) • Unnecessary treatment (1) as consumers unaware of health needs (1) • Patients lack of awareness of waiting times and NHS priorities (1)	(6)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 • Knowledge – public goods are non-excludable and non-rivalrous • Application - Extract C suggests public parks exhibit these features Reasons why they are public goods • 'free use' i.e. do not have to pay to enter • 'share the park with other users' • 'no exclusive use of the park' • Park run users 'share the park' with other users indicating one person using the park for a run does not have an impact on another person's enjoyment so non-rival. NB Reasons for/against being a public good may be presented as either KAA or EV	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 Reasons against being public good - Local authorities planning on charging parkrun participants using public parks - Public parks already have exclusive areas e.g. booking tennis courts or football pitches - Parks may be rivalrous in consumption e.g. Hundreds of park run participants may get in the way of other users. - Parks are also excludable because they already have exclusive areas, gates can be closed at certain times	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 £12 * 450 million (1) = £5.4 billion (1) £5.4 billion * 90% = £4.86 billion (1) £5.4 billion - £4.86 billion (1) = £0.54 billion £5.4 billion * 10% (1) = £540 million (1) NB Award 4 marks for a correct answer of £540 million/£0.54 billion. Award up to 3 marks for correct working but overall correct answer missing.	(4)
Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Demand shifting right and/or Supply shifting left e.g.  Reasons for demand shifting right: • Ageing population, migration • Medical technological advances • NHS as a substitute less attractive, inferior good, waiting times. • Peer pressure Reasons for supply shifting left: • high management and administrative costs • salaries/wages rising due to doctor/nurse shortages • removal of subsidy/higher tax on private health care treatment • rising rents of private hospitals • rising cost of machinery in health care. NB For Level 3 KAA one relevant diagram.	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • Magnitude depends on how proportionately large the shift in demand or supply is as a key determinant • Price elasticity of demand may be more price elastic in the long run, given improvements in the NHS, discouraging further price increases • Price elasticity of supply may be relatively price inelastic, given health infrastructure, so price rise may be very significant • Other factors may reduce price e.g. government subsidies, productivity gains, healthier lifestyles.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	4–6	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 Define excess demand. Application of excess demand to state funded health care. Government interventions: Factors influencing demand and supply (PES) that may result in the removal of excess demand (new hospitals built/doctors trained). Purpose of intervention with reference to market failure and using diagrams in various contexts: • government spending on direct provision increases supply • charging for NHS health care rations • indirect taxation (ad valorem or specific) on sugar/high fat content food/drinks or cutting taxes on healthier lifestyle options • subsidies on healthy food/gym memberships • maximum and minimum prices on healthy and unhealthy food/drinks Other methods of government intervention: • state provision of public goods e.g. public parks • provision of information e.g. 5 a day • regulation e.g. restricting sugar content • subsidising private treatment	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 Government failure to reduce excess demand. Understanding of government failure as intervention that results in a net welfare loss; consumers face an under provision of food/drink that satisfies them i.e. marginal social benefits now exceed marginal social costs. Consumer choice restricted e.g. heavily subsidised healthy school meals and regulations against unhealthy options. Causes of government failure: • distortion of price signals • unintended consequences – charging for health care results in under consumption. • excessive administrative costs • information gaps – what is healthy, concerns about low sugar food/drink contents • time lag of the policies • magnitude depending on size of funding change. Irrational consumer behaviour - peer pressure.	(6)

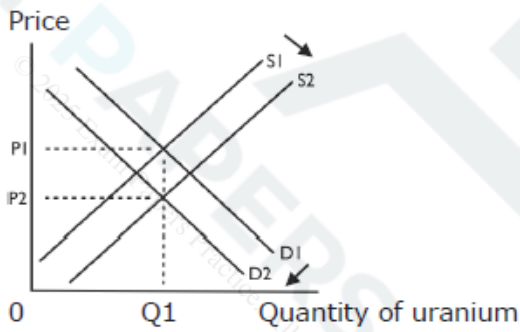
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Distinction between free market, mixed and command economies: reference to Adam Smith, Friedrich Hayek and Karl Marx Disadvantages of free market approach: • Free market under provision of health services, with large external benefits (SMB>SMC analysis), below social optimum. • Sick unable to work – loss of potential output, PPF. • Addressing concerns on affordability to access health care, insurance and information gaps e.g. preventative earlier treatments for elderly and children. • Misallocation of resources on administration of charges. • Profit incentive misallocating resources ahead of patient needs. • Asymmetric information on need to pay for treatment and quality of care. • Missing markets for elderly, children, remote rural areas.	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
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Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Functions of the price mechanism to allocate resources in private health sector or NHS: • rationing • incentive • signalling • 'Private health care increases choice for users, encourages competition and drives up standards of care.' • Mixed economy acts as a compromise between the advantages and disadvantages of a free market economy and a command economy. • Mixed economy features disadvantages of both a free market economy and a command economy and has no advantages of either. • NHS is more efficient and offers better care than private sector so why allow private sector to exist. • NHS waiting lists and lack of choice. • Information failures.	(6)
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q11.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge 1 mark for an increase in supply or a decrease in demand. This may be illustrated on a diagram Application 2 marks for using source data explaining change in supply and demand, e.g. • Estimated surplus (1) of approximately 7 million kg of uranium (1) • Kazakhstan's production has increased significantly/stockpiles (1) • Confidence in nuclear industry declined/Japan closed some of its nuclear plants (1) Analysis Accurate diagram – showing price fall (1) correct shift in demand and supply (1) e.g.  (5)	

Question Number	Indicative content	Mark
(b)	Knowledge 2, Application 2, Analysis 2 • Shows or demonstrates understanding of price elasticity of supply. • Reasons why uranium is price inelastic. • Diagram to show price inelastic supply. • Time. Two years to build a uranium mine in Spain, ten years in 'development', difficult to find in right concentrations. • Factor immobility e.g. uranium mine cannot be switched to other uses • Regulation. 'Have to clear extra hurdles' due to government concerns regarding negative externalities. NB KAA can be treated as Evaluation and vice versa (6)	

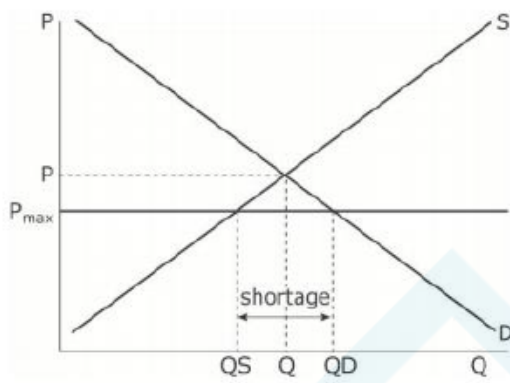
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(b) continued	Evaluation 4 Reasons why uranium is price elastic: • Time. Ability to store stockpiles of uranium, Figure 1 surplus suggests and 'stockpiles until 2020'. • 'Uranium is a relatively common metal'. Extract A Line 2 • Distinction between short run and long run and its significance for elasticity of supply. By 2018 mine in Uranium producing '2.2 million kilos a year'.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by chains of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Answer	Mark
(c)	Knowledge 2, Application 2 Analysis 2 Award up to 3 marks for each reason: Knowledge/understanding • Identification of two separate reasons: inertia, computational problems, information gap, all providers increasing prices over time. (1) Application 1 mark for, e.g. • 'Irrational consumers pay the price'. (1) • Energy prices have risen by 158% in the last 15 years.(1) • Four million households are still on the most expensive energy rates. (1) Analysis Linked development of why not switching to a supplier offering lower prices (1) e.g. • Inertia (1) despite a decade of rising energy bills (1) as consumers do not have the time or motivation to switch (1).	(6)

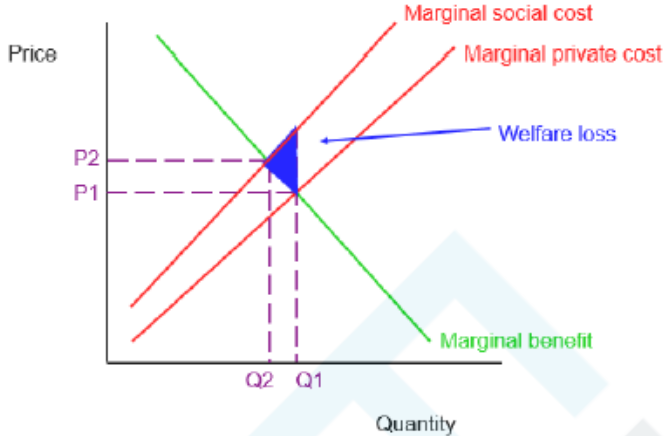
Question Number	Answer	Mark
(d)	Knowledge 2, Application 2 Knowledge/understanding 2 marks for e.g. Renewable energy is a resource made from something which can be renewed itself/infinite supply (1) Non-renewable energy is a resource which once exploited cannot be replaced/finite supply (1). Application 2 marks for, e.g. Energy generated by nuclear or coal is non-renewable (1) Solar or wind energy is renewable (1).	(4)

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 - Understanding of maximum price.  The effect of a maximum price on consumers: - Energy prices more affordable for consumers, end of 'decade of rising energy bills', extension in demand for energy or increase in quantity demanded (inefficient use). The effect of a maximum price on producers: - Contraction in supply or decrease in quantity supplied, power stations turned off 'undermine energy market', decline in producer surplus or revenue/profit. NB Level 3 responses must consider the effects on both energy consumers and producers. NB If no valid diagram then the maximum of Level 2 may be awarded	(9)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(e) continued	Evaluation 6 • It depends on whether and how far the maximum price is below the market equilibrium price. • It depends on the PES of energy. • It depends on the PED for energy. • Comment on the costs to consumers – loss of consumer surplus, energy shortages, 'higher prices in the future'. • Comment on the impact on producers – producer behaviour e.g. may move up to the price cap, reduce investment • Government failure e.g. distortion of price signals, unintended consequences	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question.

Question Number	Indicative content	Mark
(f)	Knowledge 4, Application 4, Analysis 6 External Cost:  Diagram(s) accurately drawn – with clearly labelled 'welfare loss' shaded triangle Explain costs to third parties in context. External costs: • Risk of nuclear accident – local schools and businesses close, impact on property prices. • High doses of nuclear radiation leaks increase the risk of cancer – loss of family income, employment, contribution to local economy, costs to NHS. • Cost of storage for future generations – opportunity cost of resources (land) tied to this, resulting in loss of income to farmers for example. • Opportunity cost of subsidies to nuclear industry, subsidy cuts to solar businesses. NB KAA can be treated as Evaluation and vice versa NB If there is no Diagram, max Level 3	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(f) continued	Evaluation 6 Reduced external costs in production of substitutes/external benefits may mean it is under-produced: • Curb greenhouse gas emissions which are causing climate change, by using nuclear, resulting in less flooding or storm damage reducing insurance costs to businesses. Extract C • Building new nuclear reactors allow positive local economic effects from job creation. • Provide 'affordable energy' helping businesses stay open thus protecting jobs and ending fuel poverty resulting in lower demands for health care. Other evaluation points might include: • Magnitude – depends on relative size of external cost. • Measurement difficult – putting a value on external costs. • Energy efficiency measures more preferable. • Short term/long term costs and benefits.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Question Number	Indicative content	Mark
(g)	Knowledge 4, Application 4, Analysis 6 Reasons for government intervention e.g. to correct market failure Link intervention to reducing carbon emissions. Appropriate diagram(s) accurately drawn. Ways might include: • Indirect taxation (ad valorem and/or specific) on carbon emissions providers e.g. coal/gas power stations, or workplace parking, reference to taxes directed at getting people out of their cars • Subsidies to solar/wind/nuclear energy/cycling/public transport • Maximum price on low/zero carbon emissions providers and minimum prices on carbon emitters. • Tradable pollution permits e.g. EU emissions trading scheme. • Provision of information, energy efficiency measures. • Regulation e.g. shut down all coal-fired power stations by 2025, reduction in car emissions by using low emission zones. NB KAA can be treated as Evaluation and vice versa NB If there is no Diagram, max Level 3	(14)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or superficial, two stage chains of reasoning only.
Level 3	7–10	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to apply economic concepts and relate them directly to the broad elements of the question with evidence integrated into the answer. Analysis is clear and coherent, although it may lack balance. Chains of reasoning are developed but the answer may lack balance.
Level 4	11–14	Demonstrates precise knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using appropriate examples. Analysis is relevant and focused with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(g) continued	Evaluation 6 Why the ways given may or may not be successful e.g. • Distortion of price signals. • Unintended consequences, energy shortages. • Excessive administrative costs, pollution permits. • Information gaps, external costs of non-carbon based energy sources, questioning link between carbon emissions and climate change. • Government failure to provide, solar and wind power 'vary with weather', nuclear accidents. • Relative benefits/costs of government intervention versus market based solutions.	(6)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced leading to unsubstantiated judgements. Evaluative comments with supporting evidence/reference to context and a partially developed chain of reasoning.
Level 3	5–6	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation is balanced and considers the broad elements of the question, leading to a substantiated judgement.

Q12.

Question Number	Answer	Mark
(a)	Knowledge 1, Application 2, Analysis 2 Knowledge and Analysis: (up to 3 marks) • Understanding of a positive statement e.g. statement of fact that can be tested (1) • Understanding of a normative statement e.g. statement containing a value judgement (1) Further analysis of the difference (1) e.g. • a positive statement is not linked to political viewpoint • these normative statement represents the value judgement of the Prime Minister/current political party • objective v subjective • Scientific method Application: up to 2 marks 1 for positive and 1 for normative for each example from the extract Normative example (up to 1 mark) • the regulator 'should' limit the standard variable tariff (1) • offer fairer prices for customers who are paying too much (1) • 'a price cap will not be good for consumers' (1) • The market is broken (1) Positive example (up to 1 mark) • Energy bills of 11 million households will be capped (1) • Save households up to £100 (1)	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Analysis 2, Application 2, Evaluation 2 Knowledge/understanding: 2 marks for identification of two likely benefits to the consumers (1+1) e.g. • Lower prices • Improved product quality • More innovative products • Better customer service • Better bundles/packages/choice Analysis: 1 mark for linked explanation of each identified benefit (1+1) e.g. • A benefit to the consumer is cheaper prices (1K) as BT has greater purchasing power (economies of scale) OR consumers can buy more goods/services with their income OR increased consumer surplus (1An) • A benefit to the consumer is the greater availability of bundles/packages (1K) this therefore means that they can spend less overall when buying products together rather than individually on separate contracts(1An)	
	Application: 2 marks for reference the context of the BT and EE takeover (1+1), e.g. • Multi-brand strategy (1) • Mix of BT, EE and Plusnet services (1) • Greater value bundles of services (1) • Compete for their business (1) • Controlling 35% of market share (1) Evaluation: 2 marks for two evaluative comments, OR 2 marks for identification and linked development of one evaluative comment e.g. • Potential problems to the consumer ◦ Higher prices in the LR due to diseconomies/monopoly power/x-inefficiency ◦ Lack of choice as control 35% of market ◦ Restriction of new competitors ◦ Slowed pace of technology ◦ Poor customer service • Depends on the actions and behaviour of rival firms • Depends on the extent to which cost saving measures are passed on to the consumer • Depends on the degree of future regulation within the industry	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 2 Information gaps as main cause of consumers failing to switch ➤ Consumers lack market information on the price of their landline bill in relation to other providers ➤ Main target audience (the elderly) lacks the knowledge to shop around online and use price comparison sites ➤ Switch to online billing and direct debit payments means many households are unaware ➤ Automatic price changes made by BT ➤ Hard to compare prices as all bundles comprise of different services ➤ Lack of awareness of competitor prices and packages	
	Irrational behaviour as main cause of consumers failing to switch ➤ Computation issues e.g. consumers do not understand their pricing structure ➤ Habitual behaviour/status quo bias/brand loyalty e.g. consumers may have a tendency to purchase the same service over time ➤ Consumers do not have the time to shop around or look for better deals ➤ Consumers want to avoid the disruption of changing provider ➤ Strong brand of BT leading to an inelastic demand Other factors could be causing this: ➤ Misleading advertising or price plans ➤ Lack of provision in all areas e.g. fibre optic or bundles ➤ Tie in contracts & automatic renewals ➤ Information overload ➤ Size of savings may not be significant enough to go through switching ➤ Line quality may vary so not similar packages/non-price considerations make BT offer the best. NB For Level 3 response candidates need at least two reasons but are not required to use both 'information gaps' and 'irrational behaviour'. NB There may be overlap between information gaps and irrational behaviour as reasons.	(6)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no link between causes and consequences.
Level 2	3–4	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response or the answer may lack balance.
Level 3	5–6	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are applied appropriately to the broad elements of the question.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Counter arguments made to the reasons raised • Significance of the reasons provided • Consideration of whether it is rational to assume that consumers seek to maximise utility in allocating their expenditure • Long run information gaps may narrow and irrational behaviour may reduce e.g. improved price plan information & actions of the regulator	(4)

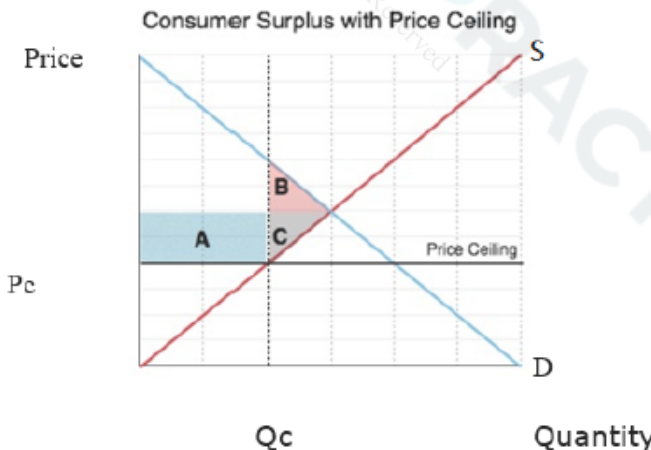
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/ reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

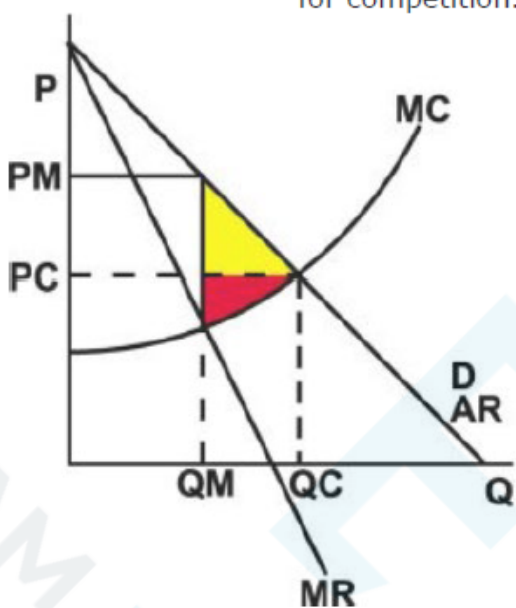
Question Number	Indicative content	Mark
(d)	Knowledge 2, Application 2, Analysis 4 BT profit levels have risen to £3.03 billion • Higher revenue due to, e.g.: - Higher rental price for landline - Price increases of 15% - Broadband calls up in price - Customers paying a higher price for setting up landline with BT - Integration with EE increasing mobile revenues - Increase in market share to 35% - Inelastic PED subject to monopoly abuse • Lower costs - Approximately 27% fall in the cost of providing the landline service - Economies of scale - Fall in fixed costs of providing extensive 'landline' network - Dynamic efficiency gains/synergy/patents acquired from merger - Fall in variable cost • Other potential reasons explained: - Exploitation of certain consumer groups - Effective use of price discrimination - Collusion with other landline providers	
	Costs and revenue diagram showing: - Original profit maximising output level - Outward shift in AR and MR - And/or – fall in AC and MC - And/or – fall in AC if FC lower - And/or Changes shown on Monopoly diagram e.g. from limit pricing to profit maximisation - Original SNP and larger new SNP area NB – For Level 3 an accurate costs and revenue diagram must be included.	(8)

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3–5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6–8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(d) continued	Evaluation 4 - Profits levels are likely to fall in the future due to the actions of the regulator and prices falling - Profits levels are likely to fall in the future as more competition enters the markets - Relative significance of points - Significance - both factors are working together to increase the extent of their profits - Not possible to say for certain due to a lack of information and data - Magnitude – 27% fall in costs likely to have a significant contribution.	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3–4	Evaluative comments supported by relevant reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.

Question Number	Indicative content	Mark
(e)	Knowledge 3, Application 3, Analysis 3 Methods of government intervention include: • Price regulation • Profit regulation • Renationalisation of industry • Performance targets • Quality standards • Providing information to enable switching • Policies to enhance competition between firms e.g. start-up grants • Policies to improve contestability and help small firms • Work of the Competition & Markets Authority regarding abuse of dominant position, anti-competitive agreements or intervening on mergers. NB for a Level 3 response there must be reference to the context of utilities. (Do not award Level 3 if no reference to the data provided or utility industries) NB for a Level 3 response there must be reference to more than one policy and the policy must refer to how it protects consumers. NB for a Level 3 response a diagram is not required but may include for example	
	 Consumer surplus increases (A-B)	

	Improved allocative efficiency for consumers, surrogate for competition. 	(9)
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Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–3	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	4–6	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	7–9	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

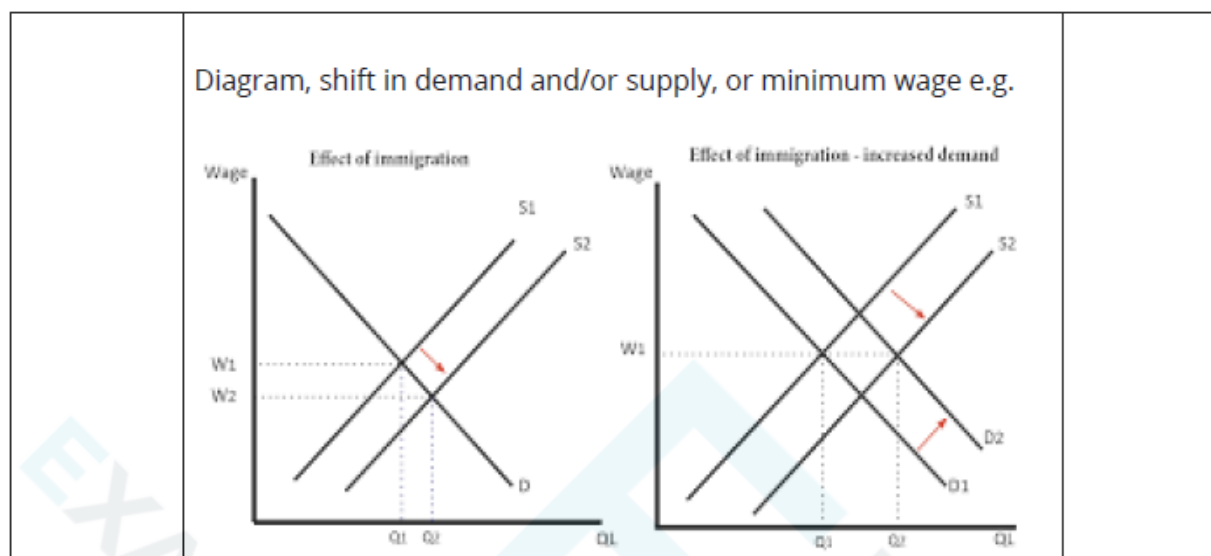
Question Number	Indicative content		Mark
(e) continued	Evaluation 6 • Criticisms of the likely effectiveness of the policies • Awareness of the problems surrounding their implementation • Recognition that a combinations of approaches may be needed • Different industries may need differing approaches • SR v LR implications • Regulatory capture • Asymmetric information • Regulatory lag • Irrational consumer behaviour • Unintended consequences of government failure e.g lack of innovation, price increases, deteriorating customer service. NB for a Level 3 response there must be reference to the context of utilities.		(6)
Level	Mark	Descriptor	
	0	No evaluative comments.	
Level 1	1–2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.	
Level 2	3–4	Evidence of evaluation of alternative approaches which is unbalanced. Evaluative comments with supporting evidence/reference to context and a partially-developed chain of reasoning.	
Level 3	5–6	Evaluative comments supported by relevant chain of reasoning and appropriate reference to context. Evaluation recognises different viewpoints and/or is critical of the evidence.	

Q13.

Question Number	Answer	Mark
(a)	Knowledge 2, Application 2, Analysis 1 Knowledge and analysis 3 marks for identifying market structure and relevant features. Points might include: • Monopolistic competition or highly competitive (1) • Many small sellers in the market (1) • Low price setting power (1) • Firms sell differentiated goods (1) • Normal profit/low profit margins as a sign (1) of low barriers to entry/exit (1) • Allow up to 2 marks for diagrammatic analysis Application: 2 marks for data (1+1 or 2): point might include: • there are many firms 10 000 to 20 000 (1) • cheap, low skill labour are possibly migrants (1) • low level of capital required (1) • everyone paying the same £5 (1) • some offering inside and out washes (1) / similar car washing at each provider (1) • Availability of cheap premises make market entry easier (1)	(5)

Question Number	Answer	Mark
(b)	Knowledge 2, Application 2, Analysis 2, Evaluation 2 Knowledge/ implicit understanding: (1+1) marks for two reasons and explanation e.g. • HCWs are inferior goods if demand rises when incomes fall • HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods • Other factors affect demand apart from income, for e.g. availability and price of substitutes (automatic car washes [might be normal/luxury good] or car washing equipment), working patterns Application: (2 marks for any relevant point, or two points 1 +1). Points might include: • Incomes are not keeping up with inflation so real incomes are falling • HCWs at £5 are a very small percentage of consumer income so they might be seen as essential or basic goods. • Increased demand when people have lower incomes – high level of utility at small expense, Extract A paragraph 2 • Extract B: there is a decrease in the availability of automatic car washes as independent petrol retailers go out of business. • Increased number of sites and rents have fallen (Extract A paragraph 3)	
	Analysis (1 + 1): • Linked development of the two points made • Maybe shown by diagrammatic analysis Evaluation: (2 marks for any relevant point, two points 1 +1). Points might include: • Subjective happiness is yielded from an HCW, implying that it is rational to use an HCW/it is not rational as washing the car at home is cheaper when incomes fall • Incomes have not been falling over the whole period, so it is more likely that as incomes rise people are buying a HCW as a YED is low (small percentage of income) • Regional or demographic changes in incomes	(8)

Question Number	Indicative content	Mark
(c)	Knowledge 2, Application 2, Analysis 4 Knowledge/implicit understanding: Points might include: - Increased labour supply – workers willing to take low-paid jobs - Arguments also allowed that since the UK left the EU, many workers are leaving – question does not specify immigration or emigration - Increased demand from increased UK population also allowed as an approach Application: - Immigrants the main employees at HCWs and similar labour intensive firms (Extract A) - Implication in EU that increased immigration (Extract A paragraph 4) has caused supply to increase and therefore wages half of minimum wage (Ext A last paragraph) - HCW often a first job while the migrant's language improves on arrival in the UK (Ext A) - Following UK leaving the EU many low skilled labour may leave - Workers are not able to migrate as wages are not high enough in sector to be able to migrate to post UK leaving the EU	
	Analysis: - Labour market diagram showing increase in the supply of labour - NMW diagram showing excess supply of labour at the wage floor - Allow decrease in supply, e.g. since the UK leaving the EU - Allow backward bending supply of labour - Allow monopsony diagrams (although not required) - Some segments require more skilled workers and not suit low skilled migrant workers, e.g. valeting - Reference to any industry that relies on migrant workers, e.g. hospitality, nursing, construction NB if no valid diagram or reference to an industry, then award a maximum of Level 2 KAA	(8)



Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Displays isolated or imprecise knowledge and understanding of terms, concepts, theories and models. Use of generic or irrelevant information or examples. Descriptive approach which has no chains of reasoning or links between causes and consequences.
Level 2	3-5	Displays elements of knowledge and understanding of economic principles, concepts and theories. Applies economic ideas and relates them to economic problems in context, although does not focus on the broad elements of the question. A narrow response; chains of reasoning are developed but the answer may lack balance.
Level 3	6-8	Demonstrates accurate knowledge and understanding of the concepts, principles and models. Ability to link knowledge and understanding in context using relevant and focused examples which are fully integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems. The answer demonstrates logical and coherent chains of reasoning.

Question Number	Indicative content	Mark
(c) continued	Evaluation 4 • Impact of UK leaving the EU, Global Health Crisis etc. might put immigration figures into negative, and wages and conditions might improve • Depends on monopsony power • Evidence suggests there is not exploitation, or there is not enough evidence • Some firms are charging a fair wage • Other changes in the pipeline • The size of the changes in migration will dictate the impact on labour market • The ability of workers to move to other sectors/ speed language developed will determine impact on labour market • Within HCW there are sub-markets - some specialise in luxury vehicles - others are mobile operators who visit home - each will be affected differently	(4)

Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1-2	Identification of generic evaluative comments without supporting evidence/reference to context. No evidence of a logical chain of reasoning.
Level 2	3-4	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(d)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for causes of the number of firms in an industry to change. Microeconomic causes may include: • nationalisation • privatisation • contestability • market power • economies of scale – natural monopoly • regulation and deregulation • oligopoly behaviour • barriers to entry e.g. factors linked to demand- tastes-preference for HCW over automatic, income, availability of substitutes- decline in automatics	
	Macroeconomic causes may include: • economic growth – e.g. a growing market means more firms will enter • trade patterns • level of protectionism • government policies e.g. supply side policies • TNCs and FDI • unemployment (especially given recent events) • inflation- if inflation is high, costs rise and if unable to increase prices, then firms may exit the market • Level of environmental protection- adds to the costs and may reduce the number of firms. • Exchange rates - if appreciated - costs to import lower and export higher - exporters may exit the market • Relative poverty high and rising - more demand low costs HCW increasing demand and market size - more firms NB for a Level 4 response there must be micro and macro cause(s). Foreign direct investment, role of TNCs, or regulation could be seen micro or macroeconomics NB for a Level 4 response there must be reference to an industry	

	9 marks for evaluation – points might include: • Depends on the nature of the business. Another industry could be used as a contrast, e.g. a capital intensive industry • Depends on the LRAC and the minimum efficient scale in the current situation • Changes over time – barriers to entry or exit are likely to change e.g. in the face of new technology in car wash industry or other industry • Exchange rates go up and down so could equally depreciate • Environmental protection may create more demand as it is a more ethical service and not cause the number of firms to fall	(25)
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Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Question Number	Indicative content	Mark
(e)	Knowledge 4, Application 4, Analysis 8, Evaluation 9 16 marks for KAA, for effects of increased government intervention. Microeconomic effects may include: • Minimum price, living wage enforced, planning issues, tax, health and safety • Rise in wages (if wage floors introduced) will have a large impact on costs. Might be shown on increasing NMW diagram • Effect on price of car washes – consumer surplus falls, output falls, price increases • Impact on quantity of labour/marginal revenue productivity • Impact on productivity • Diagram to show the effect of the intervention approach, e.g. of minimum price as solution to market failure • Price of a car wash might be passed on to higher wages	

	Macroeconomic effects may include: • Income equality improvements – may use Gini coefficient or Lorenz curve • Prices rise – inflationary effects • reduction in levels of poverty • effects on growth – inflexibility in markets can reduce I or FDI • might improve environmental standards • Reduced employment NB for a Level 4 response there must be micro and macro effect (s). Employment or welfare issues could be seen as micro or macro, for example, can be used as either micro or macroeconomics NB for a Level 4 response there must be reference to an industry	
	9 marks for evaluation – points might include: • Government failure, e.g. regulatory capture, asymmetric information • depends on impact of other events such as UK leaving the EU, high unemployment from recent Global Health Crisis • effect on workforce of employment regulation depends on elasticity for demand for labour, and degree with which it can be replaced with capital • depends on PED of HCW market as a whole • consumers might also have increases in wages • some firms will face decreased demand and go out of business. Loss of jobs and other economic activity • depends on the PED and PES in factor market and product market as a whole • Wash Mark Certificates not government regulation may have more of an impact in improving quality and conditions for workers and reducing pollution than government action	(25)

Knowledge, application and analysis		
Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1–4	Displays ability to apply knowledge in context but will focus on small range of elements. Demonstrates understanding by identifying relevant information. Demonstrates knowledge and understanding of terms, concepts, theories and models.
Level 2	5–8	Shows ability to apply economic ideas and relate them to economic problems in context. Displays knowledge and understanding of economic principles, concepts and theories to make limited analysis or narrow analysis.
Level 3	9–12	Analysis is clear and coherent with evidence well integrated, although may focus on some of the broad elements of the question more than others. Shows ability to apply economic ideas and relate them directly to the broad elements in the question.
Level 4	13–16	Analysis is relevant, clear and coherent with evidence fully and reliably integrated. Economic ideas are carefully selected and applied appropriately to economic issues and problems covering both microeconomic and macroeconomic effects. A clear understanding of economic principles, concepts, theories and arguments.

Evaluation		
Level	Mark	Descriptor
	0	No evaluative comments.
Level 1	1–3	Identification of evaluative comments without explanation.
Level 2	4–6	Evaluative comments with limited explanations. Evidence of evaluation of alternative approaches which is generic or unbalanced leading to limited judgements.
Level 3	7–9	Evaluative comments supported by relevant reasoning and appropriate reference to the context. Evaluation recognises different viewpoints and is critical of the evidence provided and/or the assumptions underlying the analysis enabling informed judgements to be made.

Q14.

Question Number	Answer	Mark
(a)	Application 2 Application 2: 1 mark for appropriate calculation /formula e.g. $\frac{1.3 \times \pounds 489\,000}{100} \quad (1)$ OR $489\,000 \times 0.013 \quad (1)$ Answer = £6 357 Award 2 marks for correct answer (6 360)	(2)

Question Number	Answer	Mark
(b)	The only correct answer is C <i>A is not correct because the candidate has mistakenly done the average house price in North East of England to the average house price in London</i> <i>B is not correct because the candidate has made a computational error</i> <i>D is not correct because the candidate has made a computational error</i>	(1)

Question Number	Answer	Mark
(c)	Knowledge 1, Analysis 1 Knowledge / understanding: 1 mark for one reason e.g. • differences in average income or wealth (1) • employment or unemployment rates (1) • migration or population change (1) • foreign buyers (1) • availability of land to build on (1) Analysis: 1 mark for a linked development e.g. • Higher average income in London mean people are able to obtain larger mortgages and so pay higher prices (1) • Higher employment rate or lower unemployment rate in London mean greater demand for housing from its population (1) • Foreign buyers attracted to invest in London due to high rental returns or expectations of increase in value of property or better market knowledge (1) • Shortage of land to build on in London, especially with green belt restrictions (1)	(2)

Q15.

Question Number	Answer	Mark
(a)	The only correct answer is C <i>A is not correct because OP_1HQ_1 is the total cost of the product plus tax revenue producers' share of the tax</i> <i>B is not correct because P_2P_1HJ is the consumers' share of the tax</i> <i>D is not correct because P_3P_2JK is the producers' share of the tax</i>	(1)

Question Number	Answer	Mark
(b)	Knowledge 1, Application 1, Analysis 1 Knowledge/understanding 1 mark for correct definition of specific tax e.g. specific tax is a set amount per unit of the product sold Application 1 mark for e.g. of specific tax such as: • fuel duty • alcohol and tobacco duty • gambling duties • air passenger duty • sugar tax Analysis 1 mark for linked development e.g. to internalise the externalities accruing to the consumption of products causing external costs (1). Reference to 'sin taxes' (1). Raising revenue (1).	(3)